Identification Guidelines

Table 39.1 encapsulates the identification guidelines for head-and-shoulders. Consider **Figure 39.3**, a handsome head-and-shoulders bottom on the daily chart. This example of a head-and-shoulders does not appear at the end of a long-term downtrend but at a short-term one (up to 3 months). The pattern reverses the downtrend but continues the long-term uptrend (acting like the corrective phase of a measured move up chart pattern).

Appearance. Overall, the pattern sports the three telltale valleys: left shoulder, head, and right shoulder. The left shoulder is at about the same price level as the right one and appears to be about the same width. Such symmetry is common in head-and-shoulders patterns (tops, bottoms, and the complex variety). If the left shoulder is sharp or pointed, the right shoulder will be, too (but be flexible in your assessment). I don't pay attention to shoulder shape.

The head is below both shoulders by a reasonable amount. By this characteristic I mean the pattern is not a triple bottom—three valleys at about the same price level. The head should be proportional to the shoulders. Consider discarding a pattern with an unusually tall neck or shoulders too uneven to be healthy.